CHAPTER 3

Knowing customer needs

Unit A · Learning outcome LO1 · Model: SERVQUAL and the Gap Model

You cannot improve what you do not measure. This chapter shows how to find out what customers expect, what they actually experience, and where the biggest gap is.

By the end of this chapter you can:

- use the five SERVQUAL areas to describe service quality
- find the gap between expectation and experience
- evaluate feedback methods and choose the right one

Key terms

Term	Meaning
Service quality	How well the service meets or beats what customers expect
Gap	The difference between what customers expect and what they experience
Reliability	Doing what you promised, correctly, the first time
Responsiveness	Being willing and quick to help
Benchmarking	Comparing your service with the best in your industry
Primary research	Collecting new information yourself, such as a survey
Secondary research	Using information that already exists, such as reports or reviews
Social listening	Watching what people say about your brand online

Core idea: ask, do not guess

Many managers think they know what customers want. Often they are wrong. A hotel may spend money on new furniture while guests are really unhappy about slow check-in. Research replaces guessing with evidence.

Primary research is new information you collect: surveys, interviews, mystery shoppers, focus groups. **Secondary research** already exists: online reviews, complaint records, industry reports. Good managers use both.

The Level 5 model: SERVQUAL and the Gap Model

Parasuraman, Zeithaml and Berry (1988) showed that customers judge service in five areas. An easy way to remember them is **RATER**:

Area	Question customers ask	Example: a bank such as
Reliability	Do they do what they promised?	The transfer arrives on the day promised
Assurance	Can I trust them? Do they know their job?	The adviser explains fees clearly and confidently
Tangibles	What does it look like?	Clean branch, working app, smart uniforms
Empathy	Do they care about me as a person?	The adviser remembers my situation
Responsiveness	Are they quick and willing to help?	My query is answered the same day

Service quality is the **gap** between expectation and experience in each area:

Gap = Experience score - Expectation score

A negative gap means the service falls short. The biggest negative gap is where to act first.

Use it in three steps

1. Find out what customers expect in each of the five areas.
2. Measure what they actually experience.
3. Close the biggest gap first.

SENTENCE FRAME

The biggest gap is in ___. Customers expect ___ but experience ___.

Deeper theory

The full Gap Model: five gaps

Earlier in this chapter we used one gap: expectation versus experience. The original **Gap Model** (Parasuraman, Zeithaml and Berry, 1985) explains **why** that gap happens. It shows five gaps. Gaps 1 to 4 are inside the company. Together they cause Gap 5, the gap the customer feels.

Gap	Name	What goes wrong	Example	How to close it
1	**Knowledge gap**	Managers do not know what customers expect	Managers think price matters most; customers care about speed	Customer research; talk to frontline staff
2	**Standards gap**	Managers know, but do not set clear standards	No standard for how fast to answer chats	Write clear, measurable service standards
3	**Delivery gap**	Standards exist, but staff do not meet them	Standard says 2 minutes; staff take 10	Training, enough staff, good tools
4	**Communication gap**	Promises do not match what is delivered	Advert says "instant refunds"; refunds take 5 days	Honest marketing; marketing talks to operations
5	**Customer gap**	Expected service ≠ experienced service	The customer is disappointed	Close gaps 1 to 4

Figure 3.1 The five gaps (adapted from Parasuraman, Zeithaml and Berry, 1985)



Manager's lesson: when customers are unhappy (Gap 5), ask which internal gap caused it. Fixing the wrong gap wastes money.

Designing good research

At Level 5, you must judge the quality of research, not only its results.

Quantitative research gives numbers, for example survey scores. It shows **how many** and **how much**.

Qualitative research gives words and stories, for example interviews and focus groups. It shows **why**.

Good managers use both: numbers to find the problem, words to understand it.

Sampling

You cannot ask every customer. You ask a **sample**. A good sample is:

- **Big enough.** Five answers can mislead; a few hundred are more reliable.
- **Representative.** It includes all your main customer groups, not only the happiest or the angriest.
- **Recent.** Old data may not show today's situation.

Common sampling problems:

Problem	Example
Self-selection bias	Only very happy or very angry customers fill in an optional survey
Non-response	Busy customers ignore surveys, so their views are missing
Leading questions	"How much did you enjoy our excellent service?" pushes a positive answer

Writing good survey questions

- Ask **one thing per question**. Not: "Was the staff fast and friendly?"
- Use **simple words** and short questions.
- Use a **clear scale**, for example 1 = very poor to 5 = excellent.
- Include **one open question**: "What is one thing we could do better?"
- Keep the survey **short**: 3 to 5 questions after a service; 10 to 15 for a yearly survey.

Benchmarking in more detail

There are three main types of benchmarking (Camp, 1989):

1. **Internal:** compare branches or teams in your own company.
2. **Competitive:** compare with direct competitors.
3. **Functional or best-in-class:** learn from the best in **any** industry. For example, a hospital might learn about check-in from an airline.

Using customer data responsibly

Research uses personal information. Collect only what you need, explain why you collect it, keep it secure, and follow data protection laws. You will learn more about this in Chapter 11.

Further reading

- Parasuraman, A., Zeithaml, V. A. and Berry, L. L. (1985). "A Conceptual Model of Service Quality and Its Implications for Future Research". *Journal of Marketing*, 49(4).
- Camp, R. C. (1989). *Benchmarking: The Search for Industry Best Practices*. Milwaukee: ASQC Quality Press.
- Saunders, M., Lewis, P. and Thornhill, A. *Research Methods for Business Students*. Harlow: Pearson (latest edition).

Tech layer: feedback in the digital age

Method	Strength	Weakness
QR code survey at the till	Fast, cheap, collected at the moment of service	Short answers; mostly very happy or very angry customers reply
Online reviews	Honest, public, free to read	You cannot choose who writes; some reviews are unfair
Social listening tools	Shows what people say when you are not asking	Needs time or software to sort the noise
Mystery shopper	Sees the real experience in detail	Costs money; one visit may not be typical
Follow-up phone call	Rich, personal detail	Slow; customers may be polite rather than honest

Benchmarking compares your scores with the best in your industry, for example comparing your hotel's review rating with the three best-rated hotels in your city.

Case study: a Hilton hotel in Doha

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine a **Hilton** hotel in Doha asks guests to score their expectation and experience from 1 to 7.

Area	Expectation	Experience	Gap
Reliability	6.8	6.4	−0.4
Assurance	6.5	6.3	−0.2
Tangibles	5.5	6.2	+0.7
Empathy	6.2	5.6	−0.6
Responsiveness	6.6	4.9	**−1.7**

The hotel planned to redecorate the lobby. But Tangibles already beats expectations. The biggest gap is **Responsiveness**: guests wait too long at check-in and for room service. The manager should fix waiting times first, for example with online check-in and SMS updates.

BRAND SPOTLIGHT

Domino's Pizza: listening to hard truths

What happened. In 2009, many customers in the United States said Domino's pizza did not taste good. Some said the crust tasted like **cardboard**. Domino's did something unusual. It put these real complaints in its own TV adverts. The company said, "You are right," and changed its recipe for the crust, the sauce and the cheese.

Why it matters. Domino's used **research** (focus groups and customer comments) to find the biggest gap between what customers expected and what they got. Then it closed that gap in public. Sales grew strongly in the months after the new pizza launched.

The lesson for managers. Do not hide from bad feedback. It shows you exactly where the gap is. Customers respect a business that listens and changes.

Word help: *focus group* = a small group of customers who discuss a product with a researcher.

BRAND SPOTLIGHT

Starbucks: asking customers for ideas

What happened. In 2008, Starbucks opened a website called **My Starbucks Idea**. Customers could share ideas, vote for other people's ideas and see what Starbucks did with them. In five years, customers sent more than 150,000 ideas. Starbucks used 277 of them, for example free Wi-Fi in stores and new food and drinks.

Why it matters. This is **primary research** that never stops. Customers told Starbucks what they wanted, in their own words, and could see that the company was listening.

The lesson for managers. Make it easy for customers to give feedback. Then **show them what you changed**. People give more feedback when they know someone reads it.

BRAND SPOTLIGHT

Coca-Cola: the "New Coke" mistake

What happened. In April 1985, Coca-Cola changed its famous recipe and launched **New Coke**. The company had run taste tests with nearly **200,000** people, and many preferred the new taste. But loyal customers were angry. The company received thousands of calls and letters of complaint. After only **79 days**, Coca-Cola brought back the original drink as **Coca-Cola Classic**.

Why it matters. The research asked about **taste**. It did not measure customers' **emotional attachment** to the original drink. The research answered the wrong question.

The lesson for managers. Research is only useful if it asks the right questions. Ask customers what they value, not only what they think of one feature. And listen quickly when they complain, as Coca-Cola did in the end.

QATAR SPOTLIGHT

Qatar Airways: learning from benchmarks

What happened. Skytrax is an international company that rates airlines. Its World Airline Awards are based on surveys of airline passengers from many countries. In 2024, Skytrax named Qatar Airways the **World's Best Airline** for the eighth time.

Why it matters. A rating like this is a **benchmark**. Airlines around the world compare their own service with the winners. They ask: what do the best airlines do better in comfort, staff service, food and lounges?

The lesson for managers. Benchmarking means learning from the best. Find the leaders in your industry. Compare your scores with theirs, area by area. The biggest difference shows you where to improve.

Is this model perfect?

Strengths of SERVQUAL	Limits of SERVQUAL
Covers five clear areas of service quality	Long surveys can tire customers, so fewer people answer
Shows the gap, not just a score	Expectations are hard to measure; customers may not know what they expect
Lets you compare branches, teams or years	Some experts say measuring experience alone is enough
Widely used, so you can benchmark	Numbers show **where** the gap is, but not always **why**

How to use this in an answer: "SERVQUAL shows the biggest gap is in ___. To understand why, I would also ___ (for example, interview customers)."

Useful language

Asking for feedback

- "Could you spare one minute to tell us how we did today?"
- "What is one thing we could do better next time?"

Responding to feedback

- "Thank you for telling us. This helps us improve."
- "You're right, that isn't good enough. Here's what we'll change: ___."

Presenting research to a manager

- "The survey shows the biggest gap is in ___."
- "Customers expect ___, but they experience ___."

Practice case: a QNB branch

Imagined scenario: the situation and numbers are invented for practice. They do not describe the real company.

Imagine a **QNB** branch in Doha asks 200 customers to score their **expectations** and **experience** from 1 to 7.

Area	Expectation	Experience
Reliability	6.9	6.6
Assurance	6.6	6.4
Tangibles	5.2	6.5
Empathy	6.0	5.1
Responsiveness	6.7	4.8

Comments include: "The branch looks beautiful, but I waited 50 minutes." "The staff were polite but did not seem to care about my problem." The branch manager wants to spend $80,000 on new furniture and screens.

Guided questions

1. **Calculate:** Work out the gap for each area.
2. **Analyse:** Rank the gaps from biggest to smallest.
3. **Evaluate:** Is new furniture a good idea? Use the Tangibles result.
4. **Evaluate:** Compare two feedback methods the bank could use to find out **why** customers feel the way they do.
5. **Recommend:** Suggest two actions for the two biggest gaps. Use the sentence frame.

Hint: a positive gap means the branch already beats expectations in that area.

Think local

Choose a brand you know, for example **Hamad International Airport**, **Emirates** or a bank you use, such as **QNB**.

1. How does this brand ask for your **feedback**? (survey, QR code, app rating, review website)
2. Score the brand from 1 to 7 on each RATER area. Where is the biggest **gap** for you?
3. Which well-known brand would you **benchmark** it against? Why?

Teachers: replace these brands with any brands your students know well.

Common mistakes managers make

- **Guessing instead of asking.** Managers often think they know what customers want. Research often shows something different.
- **Asking only happy customers.** Customers who stopped buying from you can teach you the most.
- **Collecting feedback and doing nothing.** Customers stop giving feedback when nothing changes.
- **Fixing what looks nice instead of the biggest gap.** New furniture does not fix slow service.

Apply it: a mini SERVQUAL survey

Work in groups of three. Choose a place your group knows, such as your college canteen or a local shop.

1. Write one question for each RATER area. Example for Responsiveness: "How quickly were you served?"
2. Ask five people to score each area from 1 to 7: first what they **expect**, then what they **experience**.
3. Work out the average gap for each area: experience minus expectation.
4. Find the biggest negative gap.
5. Recommend one action to close it, with the sentence frame.

Chapter summary

- Use **research**, not guesses. Primary research is new. Secondary research already exists.
- **SERVQUAL** has five areas: **R**eliability, **A**ssurance, **T**angibles, **E**mpathy, **R**esponsiveness (RATER).
- **Gap = experience − expectation.** Close the biggest negative gap first.
- Each feedback method has strengths and weaknesses. Choose the one that fits your question.
- **Benchmarking** compares you with the best in your industry.

Review quiz

1. Which SERVQUAL area means "doing what you promised, correctly, the first time"?
   a. Tangibles
   b. Reliability
   c. Empathy
   d. Assurance
2. Expectation 6.5, experience 5.0. The gap is…
   a. +1.5
   b. −1.5
   c. 11.5
   d. 0
3. Reading online reviews that already exist is…
   a. secondary research
   b. primary research
   c. benchmarking
   d. a mystery shopper
4. Domino's put customer complaints in its adverts and then…
   a. closed its stores
   b. raised its prices
   c. stopped selling pizza
   d. changed its recipe
5. Comparing your hotel's rating with the top three hotels in your city is…
   a. social listening
   b. a focus group
   c. benchmarking
   d. a complaint

Check your understanding

1. Name the five SERVQUAL areas and give one example of each at a supermarket.
2. What is the difference between primary and secondary research?
3. Calculate the gap: expectation 6.0, experience 4.5.
4. Why might QR surveys give an unbalanced picture?
5. *Level 5 question:* A restaurant can afford one feedback method. Evaluate two methods and recommend one.

Capstone step 3

Evaluate two feedback methods your chosen organisation could use. Compare their strengths and weaknesses, then **justify which one** you would choose.